

CONTRACTS: OFFER AND ACCEPTANCE

Offer and acceptance

Reading guide and governing framework

An offer gives its recipient the legal power to form a contract by accepting the proposed exchange in the invited manner. The person making the offer is the offeror; the person authorized to accept is the offeree. An offer exists when the words and circumstances reasonably communicate that the recipient's assent will complete the bargain. A statement that reserves a further decision for its maker ordinarily begins or continues negotiations. Acceptance expresses assent to the offered terms through the words or conduct that the offer invites or requires. These questions concern the parties' observable communications and the reasonable meaning of their conduct. *Restatement (Second) of Contracts* §§ 24, 26, 30, 50 (1981).

Lefkowitz concerns a definite advertisement and acceptance by complying with its terms. *Wucherpennig* distinguishes a present commitment from continued negotiation. *International Filter* identifies the operative offer and the effect of a specified approval method. *White* examines whether preparations objectively communicate acceptance. In each case, the wording and circumstances determine what further action completes the bargain.

A promise can serve as acceptance when the offer seeks a commitment to perform; conduct can also express that promise. When an offer invites either a promise or performance, beginning the invited performance ordinarily accepts and carries a promise to finish. When the offer invites acceptance only through performance, beginning or tendering the invited performance can create an option protecting the opportunity to finish, while the offeror's duty remains conditional on completion according to the offer. Preparation, actual beginning, completion, and notice therefore require separate analysis. *Restatement* §§ 32, 45, 50, 54, 56, 62.

For goods, the applicable state's Uniform Commercial Code supplies additional rules. UCC § 2-206 ordinarily permits acceptance in a reasonable manner and medium unless the offer or circumstances unambiguously require otherwise. An order for prompt shipment generally invites either a prompt promise to ship or prompt shipment. These rules should be distinguished from the historical reasoning in the older opinions. The Restatement synthesizes common-law principles whose adoption depends on the jurisdiction. *UCC* § 2-206.

The assigned names control this packet's coverage because the supplied book is the seventh edition and uses different pagination. In that scan, *Lefkowitz* appears on printed pages 134-135, PDF pages 184-185; *International Filter* on printed pages 147-151, PDF pages 197-201; and *White* on printed pages 152-154, PDF pages 202-204. The silence discussion is on printed pages 166-167, PDF pages 216-217. The antidiscrimination discussion is on printed page 156, PDF page 206. The termination section occupies printed pages 167-185, PDF pages 217-235, followed by the mailbox discussion and problem on printed pages 185-188, PDF pages 235-238. *Wucherpennig* was not located in the seventh edition's searchable text and is briefed from its full reported opinion. PDF page numbers here count from the file's first page.

Reporter citations identify the decisions independently of casebook pagination. Full online opinions were consulted for *Lefkowitz*, *Wucherpennig*, and *White*. The accessible online *International Filter* opinion ends during its reasoning; the remainder and precise disposition were checked against the supplied excerpt. Its complete unabridged text was therefore not independently verified online. Linked citations identify the opinion texts and statutory sources.

Lefkowitz v. Great Minneapolis Surplus Store, Inc.

251 Minn. 188, 86 N.W.2d 689 (1957). Supreme Court of Minnesota. Murphy, J. Decided December 20, 1957.

The Minnesota Supreme Court held that the store's advertisement for a specifically identified fur stole at a stated price, offered to the first customer to arrive, created an offer that Morris Lefkowitz accepted by satisfying those conditions. The store could not then add an eligibility restriction absent from the advertisement. Lefkowitz, the customer and plaintiff below, was the respondent on appeal and represented himself. Great Minneapolis Surplus Store, Inc., the merchant and defendant below, appealed an order refusing to alter the trial court's findings or grant a new trial. The Supreme Court affirmed, leaving Lefkowitz's \$138.50 damages award in place. *251 Minn. at 189-92, 86 N.W.2d at 690-91.*

The full opinion concerns two newspaper advertisements published a week apart. On April 6, 1956, the store advertised three new fur coats for one dollar each, available at 9 a.m. the following Saturday on a first-come, first-served basis. The advertisement described the coats as worth up to \$100. On April 13, the store advertised two pastel mink three-skin scarfs, described as selling for \$89.50, and one black lapin stole, described as worth \$139.50, for one dollar each. The second advertisement again specified Saturday at 9 a.m. and first-come, first-served availability. The lapin stole was the item that ultimately supported the damages award.

On each Saturday, Lefkowitz arrived first at the appropriate counter, demanded the advertised item, and indicated that he was ready to pay one dollar. The store refused both times. On the first visit, it told him that an internal house rule limited the offer to women. On the second, it relied on his knowledge of that rule from the previous encounter. Neither published advertisement stated the restriction. The trial court's supported findings established Lefkowitz's compliance with the advertised conditions; the Supreme Court therefore examined the legal consequences of that conduct.

Lefkowitz sued for breach of contract in the Municipal Court of Minneapolis. The trial court rejected his claim for the value of the coats because the only evidence of their value was the uncertain upper limit stated in the first advertisement. A statement that the coats were worth up to \$100 did not establish what any particular coat was actually worth. The stole's advertised value was a definite \$139.50, and the court accepted that figure as established on this record. It awarded that value less the one-dollar purchase price, producing \$138.50. The store moved for amended findings or, alternatively, a new trial; the municipal court denied the motion, and the store appealed that denial. *251 Minn. at 189-90, 86 N.W.2d at 690.*

The formation issue was whether the advertisement itself committed the store to sell on stated terms when a customer performed the requested acts, or instead invited customers to submit purchase offers that the store remained free to reject. The related acceptance issue was whether Lefkowitz's arrival and offer to pay satisfied the advertisement. The store relied on decisions treating advertisements as invitations to bargain and argued that its advertised proposal could be withdrawn without notice. It also argued that the house rule restricted which customers could obtain the bargain. Lefkowitz's position depended on the public advertisement's definite terms and his performance of the acts it requested.

Lefkowitz v. Great Minneapolis Surplus Store, Inc. (continued)

The court recognized that ordinary advertisements often invite buyers to make offers. The legal character of a particular advertisement nevertheless depends on its language and surrounding circumstances. Here the advertisement identified a particular article, supplied an exact price, fixed the time, and identified the eligible purchaser through the order of arrival. Those provisions supplied a way to determine both the store's obligation and the person entitled to enforce it. The court treated a public advertisement as an offer when it was sufficiently definite and left no further negotiation necessary to complete the transaction. A customer's response then could form the contract without a further discretionary approval by the store. *251 Minn. at 190-92, 86 N.W.2d at 690-91.*

Lefkowitz accepted by arriving first as requested and offering the stated purchase price. The opinion does not require that the merchant first take his money: the findings established his readiness and offer to pay, followed by the merchant's refusal. The store's requested conduct supplied an objective method of acceptance. Specifying one stole and first-come, first-served availability also made the extent of the promised sale ascertainable. As an analytical explanation of the holding, those terms address the concern that an advertisement might otherwise expose a merchant to obligations exceeding its stock. The court's actual holding rests on this advertisement and Lefkowitz's compliance with it.

The house rule failed because it added a condition after Lefkowitz had accepted the published offer. The court recognized an advertiser's ability to modify an offer before acceptance but held that the advertiser could not impose new or arbitrary conditions afterward. Lefkowitz's prior awareness that the store had asserted a women-only rule did not persuade the court to insert that restriction into the second published advertisement. The opinion resolved the dispute through the terms and timing of contract formation; it did not decide a statutory sex-discrimination claim. *251 Minn. at 192, 86 N.W.2d at 691.*

The case also separates the existence of an obligation from proof of recoverable loss. The court's refusal to award the claimed coat value rested on uncertain valuation, while the stole award used the established value minus the amount Lefkowitz would have paid. That calculation gives him the economic value of the promised bargain. The opinion does not establish a universal rule that an advertiser's stated value conclusively fixes damages in every case. It accepts the stole's value on this record and treats the coats' stated maximum as insufficient proof.

For class analysis, identify the exact words that give the customer power to complete the bargain, the conduct those words require, and the time at which that conduct occurs. A later refusal to perform an already formed contract has different consequences from a timely withdrawal of an outstanding offer. In *Lefkowitz*, the advertised terms made that sequence decisive. The opinion contains no separate concurrence or dissent. The full decision is available at *Lefkowitz, 251 Minn. 188, 86 N.W.2d 689.*

Wucherpennig v. Dooley

351 N.W.2d 443 (1984). Supreme Court of North Dakota. Sand, J. Decided July 11, 1984.

The North Dakota Supreme Court held that Donald Wucherpennig failed to accept Elizabeth Dooley's offer to sell her interest in inherited farmland before she revoked it. The response sent through the estate's attorney expressed readiness to proceed and sought further information, but it did not communicate a definite present commitment to buy on the offered terms. The court affirmed dismissal of Donald's claim for specific performance, the remedy that would have required Elizabeth to convey her interest. Donald was the plaintiff and appellant; Elizabeth, his sister, was the defendant and appellee. Their sister Louise Grettum and persons claiming interests in the land were also named defendants, although the disputed sale concerned Elizabeth's share. *351 N.W.2d at 443-45*.

The siblings inherited a family farm consisting of four quarters of land after their father died in 1964 and their mother died in 1977. Donald received an undivided two-thirds interest in the quarter containing the farmstead, while Elizabeth and Louise each received an undivided one-sixth interest in that quarter. Each sibling received an undivided one-third interest in each of the other three quarters. The unequal fractional interests matter because the parties were negotiating over Elizabeth's total ownership interest, and a price per acre had to be translated into the amount due for that interest.

During probate of their mother's estate, Elizabeth indicated that she wanted to sell her share to Donald. On January 4, 1979, she wrote Robert Case, the attorney handling the probate, offering to sell at \$200 per acre if Donald wanted to buy, provided the transaction was for cash and handled promptly. The parties did not dispute that this letter was an offer. Case replied on January 13 that Donald was interested in purchasing her interest. That expression of interest preceded the communication on which Donald ultimately relied as his acceptance.

On February 17, Case wrote that Donald had arranged financing through the Federal Land Bank and that they were ready to proceed with the transaction. He then asked Elizabeth to state the exact amount she expected for her interest in the land. He also asked whether she would sign an agreement relating to Special Use Valuation and requested a response on both subjects. Elizabeth did not answer. On March 9, she revoked her offer to sell at \$200 per acre. Donald contended that the February 17 letter had already created a contract and that the revocation therefore came too late. *351 N.W.2d at 443-44*.

Donald sought specific performance of the alleged sale contract and, alternatively, partition of the jointly owned property. Partition would address the co-owners' interests independently of the claimed agreement to buy Elizabeth's share. By consent, the parties tried the specific-performance claim first. The district court found that Donald had not accepted Elizabeth's offer and that, even if an acceptance existed, the supposed contract could not be specifically enforced. It gave four independently sufficient grounds for dismissal. On appeal, Donald therefore needed to defeat every independent ground to obtain reversal. The Supreme Court agreed with the lack-of-acceptance ground and expressly declined to decide the remaining issues. Its affirmance concerned dismissal of specific performance; the reported decision does not resolve the alternative partition claim. *351 N.W.2d at 444*.

Wucherpennig v. Dooley (continued)

The controlling question was whether the February 17 letter expressed assent that would itself complete the bargain on Elizabeth's terms, or whether it contemplated further negotiation before either side became bound. Applying N.D. Century Code § 9-03-21 and its precedents, the court required an absolute, unequivocal, and unconditional acceptance. The offer and acceptance had to concern the same bargain, and the response had to express an intention to create the contract through that response itself. The court drew that formulation from *Cooke v. Blood Systems, Inc.*, *Grossman v. McLeish Ranch*, *Greenberg v. Stewart*, and Minnesota decisions including *Markmann v. H.A. Bruntjen Co.* and *Minar v. Skoog*.

The court read the letter as a whole. Arranging financing showed that Donald was preparing to buy, and readiness to proceed showed continued interest. The immediate request for the amount Elizabeth expected, however, indicated that a material aspect of the proposed exchange remained open. The court understood the letter as movement toward a future agreement. Donald had not unequivocally committed himself to the transaction described in Elizabeth's offer. The letter's additional inquiry concerning Special Use Valuation formed part of the correspondence, but the court did not announce a separate holding that such an inquiry automatically defeats acceptance in every transaction. *351 N.W.2d at 444*.

Donald's own trial testimony strengthened that reading. When asked why the February 17 letter did not specify a total amount, he said the amount would have been \$37,200 and acknowledged that Elizabeth would have expected more. He also said that she would not have signed a contract stating the figure he intended to pay. The court used that testimony as further support for its conclusion that the parties had not assented to the same terms. The problem was therefore more substantial than leaving out a mechanical calculation that both parties understood identically. Donald knew that the figure he intended to pay would not secure Elizabeth's agreement. *351 N.W.2d at 444-45*.

The opinion should be applied with care to a response that both accepts and requests information. A response can accept an offer while also asking for a change or clarification, if assent is complete and does not depend on the offeror agreeing to the request. The Restatement expresses that distinction in §§ 59 and 61: a response conditioning assent on different terms is a counteroffer, while a completed acceptance may accompany a nonconditional request. In *Wucherpennig*, the court found the threshold commitment missing. It did not hold that every question following words of acceptance destroys the contract. Nor did it need to classify the February 17 letter as a definite counteroffer; continued negotiations were enough to explain why it was ineffective as an acceptance.

The transaction also illustrates the limit of reliance as a formation argument. Donald's financing arrangements showed preparation, but the court did not treat them as acceptance of Elizabeth's cash-sale offer. It resolved the case on the correspondence and supporting testimony, without deciding the district court's other grounds. The reported opinion contains no separate dissent; the other justices concurred. The full opinion is available at *Wucherpennig v. Dooley*, *351 N.W.2d 443*.

International Filter Co. v. Conroe Gin, Ice & Light Co.

277 S.W. 631 (1925). Texas Commission of Appeals, Section A. Nickels, J. Decided December 10, 1925; disposition adopted by the Texas Supreme Court.

The court held that Conroe Gin's signed order authorized International Filter to complete the contract through approval by an executive officer at its Chicago office. The officer's dated approval satisfied that specified method, and the writing did not require separate notice of approval. The court also concluded that the company's subsequent acknowledgment sufficiently communicated approval if notice was required. International Filter, an Illinois manufacturer of water-purification equipment with its principal office in Chicago, was the plaintiff and party seeking review. Conroe Gin, a Texas company manufacturing ice in Conroe, was the defendant. International Filter prevailed on the formation issues, but the case returned to the Court of Civil Appeals for unresolved questions; the reviewing court did not enter a final damages award. *277 S.W. at 631-33.*

On February 10, 1920, International Filter's traveling representative, W. W. Waterman, presented a written proposal to Conroe Gin's manager, Henry Thompson. The proposal described a No. 2 Junior steel-tank water softener and filter for \$1,230, to be furnished f.o.b. Chicago and suitable for water whose characteristics would be determined from a sample. The decisive language provided that the proposal would become a contract when accepted by the purchaser and approved by an executive officer of International Filter at its Chicago office. The form also required modifications to be made through an approved supplementary agreement signed by both parties and stated that the proposal was submitted for prompt acceptance, with change without notice possible if prompt acceptance did not occur.

Thompson signed the paper for Conroe Gin on February 10, using an acceptance notation. The document also requested shipment by March 10. It then went to International Filter's Chicago office. On February 13, P. N. Engel, identified in the opinion as the company's president and vice president, wrote a dated approval on the paper. On February 14, International Filter mailed a letter acknowledging and thanking Conroe Gin for the order, identifying the equipment and its electrical specifications, and referring to March 10 shipment. The letter asked Conroe Gin to send a water sample promptly so the manufacturer could analyze the water before shipping the equipment. Conroe Gin received that letter in due course. *277 S.W. at 631-32.*

Conroe Gin attempted to cancel the order in a February 28 letter and reiterated that position on March 4. International Filter answered on March 2, denied a right to cancel, and insisted on performance. It then sued for breach. Conroe Gin argued that neither Engel's endorsement nor the February 14 letter constituted the executive approval contemplated by the proposal. It further argued that notice of approval was essential and had not been given. Thompson testified that, when he signed the order, he had told Waterman that prompt notification was required. The defense therefore relied both on its reading of the form and on a claimed oral instruction accompanying the signature.

The trial court heard the case without a jury and entered judgment for Conroe Gin, finding in its favor on the formation issues and other material issues. The Court of Civil Appeals affirmed at 269 S.W. 210. That court nevertheless agreed that Engel's endorsement was an approval within the document's terms; the principal remaining obstacle was the asserted need for notice. International Filter sought further review. The Commission of Appeals recommended reversal of the intermediate appellate judgment and remand to that court for questions properly presented but not previously decided. Chief Justice Cureton, for the Texas Supreme Court, adopted that disposition. This procedural endpoint matters because a favorable ruling on contract formation did not resolve every issue in the breach action.

International Filter Co. v. Conroe Gin, Ice & Light Co. (continued)

The first analytical step is to identify who made the legally operative offer. International Filter prepared the form and called it a proposal, while Conroe Gin signed beneath language of acceptance. Even so, the form reserved a further act of approval for International Filter's executive officer. Conroe Gin's signature therefore supplied the offer to purchase on those terms. The company became the offeree with authority to accept through the reserved approval. The court expressly treated the signed paper sent to Chicago as Conroe Gin's offer. Drafting the form and making the operative offer were separate roles. 277 S.W. at 632.

The court agreed that Engel's dated endorsement constituted approval by an executive officer at the designated place. No additional ritual was necessary to make that endorsement an approval. The remaining question was whether the contract also required communication of that approval to Conroe Gin. Although notice ordinarily protects an offeror who seeks a return promise, the offeror may dispense with it by authorizing a particular act as sufficient acceptance. Drawing on *Carlill v. Carbolic Smoke Ball Co.*, the court reasoned that the offeree completes the required acceptance by following the specified method when the offer makes that method sufficient.

The signed writing said that the proposal became a contract upon the executive officer's approval in Chicago. Requiring notice to arrive in Conroe would add another condition and change both the designated time and place of formation. The separate prompt-acceptance provision addressed the timing of the required approval; it did not prescribe an additional form of acceptance or a notice requirement. The court treated the writing as unambiguous and judged the offer by those written terms despite the claimed oral demand for notification. Its reasoning supports a contractual waiver of notice in this transaction, while leaving the ordinary notice rule applicable when the offer does not dispense with it. 277 S.W. at 632-33.

The court supplied an alternative ground concerning the February 14 letter. Approval had already occurred through Engel's endorsement; the letter's possible role was to notify Conroe Gin of that existing act. A notice can communicate acceptance by reasonable implication without repeating a particular formula. The acknowledgment thanked the buyer for the specified order, identified the planned shipment, and requested the water sample needed for performance. The court concluded that a reasonable recipient in Conroe Gin's position would understand it to communicate approval. Its additional observation that reliance on the letter could have prevented International Filter from denying approval was hypothetical; the reported facts do not establish that Conroe Gin actually changed position in such reliance.

The narrow formation holding depends on the particular approval clause and the occurrence of the required executive act. An offeree's unexpressed decision to agree would not satisfy the prescribed act merely because the offer waived notification. Engel made an observable written endorsement of the document itself. This explains the comparison with *White*: the controlling question in each case is whether the offeree performed an act that the offer and circumstances made sufficient to express assent. In *International Filter*, the writing expressly selected the act that completed the bargain; in *White*, the builder's general preparations did not communicate acceptance of the proposed job.

The case concerns common-law formation in a 1920 transaction and should be stated in those terms. A modern sale of equipment would also require attention to the applicable UCC provisions and to whether the language unambiguously restricts the means of acceptance. The available online opinion text is linked at *International Filter*, 277 S.W. 631; that public text ends during the reasoning. The later reasoning and remand described here appear in the supplied seventh edition, printed pages 149-151, PDF pages 199-201.

White v. Corlies & Tift

46 N.Y. 467 (1871). Court of Appeals of New York. Folger, J. Decided November 20, 1871. Also reported as *White v. Corlies*; the supplied casebook spells Tift with one final f.

The New York Court of Appeals held that White's private decision to accept a proposed office-fitting job, followed by buying and working on general-purpose materials, did not sufficiently manifest acceptance to the merchants who proposed the job. The trial judge had incorrectly instructed the jury that White could bind the merchants by acting on their note and beginning the job without indicating assent to them. The Court of Appeals reversed the judgment for White and ordered a new trial, with costs to depend on the eventual outcome. White was the builder, plaintiff, and respondent on appeal; Corlies and his associates were the merchants, defendants, and appellants. *46 N.Y. at 467-70*.

White operated his building business on Fortieth Street in New York City. The merchants conducted business on Dey Street and wanted a suite of offices at 57 Broadway fitted up. In September 1865, they gave White specifications and asked him to estimate the cost. He delivered his estimate on September 28, after which the merchants were to consider it and communicate their decision. They changed the specifications that day and sent the revised version to White to obtain his assent under the estimate. White signed his assent to the changes and returned the specifications. That preliminary agreement about specifications formed part of the negotiations; the Court of Appeals found no completed agreement before the later note.

The next day, the merchants' bookkeeper sent White a note dated September 29. It stated that, upon an agreement to finish fitting up the offices within two weeks from that date, he could begin at once. The writer also said he would probably call again between five and six that afternoon. White did not reply. Immediately after receiving the note, he bought lumber and began working on it. The merchants countermanded the proposal the following day. White sued for damages on the theory that his conduct had accepted the undertaking before the countermand arrived.

The supplied casebook adds details from White's testimony in the record on appeal. The merchants had initially wanted the offices finished in black walnut within twenty-one days; White said he could not do that hardwood work within that period. They then requested an estimate for white pine. White's September 28 estimate did not specify a completion time. The subsequent countermand requested another estimate for black walnut. Those record details help explain why agreement about specifications and price did not necessarily settle the entire undertaking. They supplement the published opinion and are identified here as casebook reporting of the appellate record. The opinion itself refers once to a September 30 communication; the casebook notes that the court apparently meant the September 29 note.

At trial, the judge told the jury that White did not have to return to the merchants and state that he had begun, and that he could act on the note and commence the job. The defendants took an exception to that instruction, preserving the claimed legal error. The jury found for White. The General Term of the First Judicial District affirmed the trial judgment, and the defendants appealed to the Court of Appeals. The issue on that appeal was whether the instruction treated White's decision and preparations as sufficient acceptance when his conduct had not communicated assent or been placed in an appropriate course of communication. The disposition was a new trial, rather than a final appellate award to either party. *46 N.Y. at 467-70*.

White v. Corlies & Tifft (continued)

The court first treated the merchants' note as a proposal requiring White's acceptance. It found no earlier contract in the evidence or the jury's findings. The court then stated that an offer made when the parties are apart requires acceptance through an appropriate outward act. The act need not always have reached the offeror's actual knowledge before a contract forms. It must, however, be placed in a proper course of communication so that it will ordinarily reach the offeror within a reasonable time. A mailed acceptance illustrates the distinction: dispatch may complete the contract even before delivery because the offeree has taken an objectively communicative step. 46 *N.Y. at 469*.

White's conduct failed that test. The lumber he purchased was suitable for other comparable jobs, and the work he performed on it resembled the work he would do for those jobs. His acts therefore did not identify this proposed undertaking as the one he had accepted. His private intention could explain the acts to himself, but it did not give the merchants an outward indication of assent. The court found nothing in his conduct that communicated acceptance, set such communication in motion, or would necessarily result in communication to the merchants. His expenditures and labor thus established preparation without establishing the acceptance required on this record. 46 *N.Y. at 469-70*.

White's strongest argument arose from the note's permission to begin immediately: a builder could reasonably understand an instruction to start as inviting responsive conduct. The court nevertheless examined what White actually did and how those acts would manifest assent. It did not establish a rule that conduct can never accept an offer. Nor did it hold that actual receipt of notice is always essential, since its mailed-letter example expressly recognized formation before receipt. Its conclusion was that these general preparations, accompanied by an uncommunicated intention, were insufficient under this proposal.

The casebook identifies a genuine interpretive question concerning the note's opening phrase. It could require White to agree to the newly stated completion period before starting, or it could refer to the proposed work while authorizing commencement. The Court of Appeals treated the note as an offer but did not develop every possible reading of that phrase. Work at the specified offices, an unequivocal return message, or other conduct objectively directed to this job could present a different acceptance question. Those are analytical variations; the court did not decide them. The brief's holding should remain tied to the generic lumber and uncommunicated work in the actual record.

Under the later Restatement framework, the initial inquiry would be whether the offer invited a promise, performance, or either. Section 62 may make the beginning of invited performance an acceptance carrying a promise to complete; § 45 may protect an offeree who begins performance when only completed performance is invited as acceptance. Both inquiries require identifying the work actually requested and distinguishing its beginning from preparation. Sections 54 and 56 separately address notice. These later provisions help organize a modern analysis of similar facts, but the 1871 court did not apply them.

The decision supports an objective account of assent: an act must obtain its contractual meaning from the communication and circumstances, and a hidden intention cannot supply the missing outward meaning. The justices concurred in reversal, with Justice Allen not voting. The opinion is available at *White v. Corlies*, 46 *N.Y. 467*. The fuller factual statement and the appellate-record note appear in the supplied casebook at printed pages 152-154, PDF pages 202-204.

Silence not ordinarily acceptance

Restatement (Second) of Contracts § 69; casebook printed pages 166-167, PDF pages 216-217.

Silence acquires contractual significance when the circumstances reasonably give it the meaning of assent. An unsolicited offer, standing alone, ordinarily leaves the recipient free to do nothing. The offeror cannot impose a duty to reject merely by announcing that silence will count as acceptance. This rule protects the recipient's control over whether to enter a bargain and avoids making every uninvited proposal a demand for action. The assigned discussion uses an offer declaring acceptance automatic after forty-eight hours of silence to illustrate that limit. *Restatement § 69; casebook at 166.*

Section 69(1)(a) addresses the knowing acceptance of services. An offeree who takes the benefit of offered services, has a reasonable opportunity to reject them, and has reason to know that the provider expects compensation may accept through that conduct. For example, a person who knowingly permits requested paid work to continue for that person's benefit can communicate assent without a spoken promise. The opportunity to reject and the reason to understand that payment is expected are essential. If someone provides an unavoidable benefit without giving the recipient a meaningful choice, those facts require a different analysis; liability cannot be inferred simply from the existence of a benefit.

Section 69(1)(b) concerns an offeror who gives the offeree reason to understand that assent may be expressed through silence or inaction. In this situation, silence operates as acceptance only when the offeree intends to accept. The offer can authorize silence as a convenient way of accepting, but it cannot force an unwilling recipient into a bargain. The offeree's intention therefore has a specified role within this exception. The requirement differs from a general rule under which an offeror could impose contractual consequences by setting an arbitrary deadline for rejection.

Section 69(1)(c) concerns previous dealings and other circumstances that make it reasonable for the offeree to notify the offeror if the offeree intends to decline. A repeated practice can establish what an unspoken response means between these parties. If a supplier regularly sends goods of an agreed kind and the buyer regularly accepts and pays, the supplier may reasonably understand the same pattern to continue unless the buyer objects. The relevant question is the meaning created by the parties' relationship and current conduct. A party's undisclosed intention to reject may fail to overcome conduct that objectively communicates acceptance under that established practice.

The casebook's principal illustration is *Hobbs v. Massasoit Whip Co.*, 158 Mass. 194, 33 N.E. 495 (1893). Hobbs sought \$108.50 for 2,350 eel skins sent to a whip manufacturer. He had sent skins in the same manner four or five times before, and the manufacturer had accepted and paid for them. In the disputed transaction, the company retained the skins for months without giving Hobbs notice that it declined them, and the skins were eventually destroyed. Justice Holmes explained that the established dealings and retention could support a jury finding of acceptance. The prior transactions gave the shipment an understood commercial context, and prolonged retention without objection reinforced that meaning. The court overruled the defendant's exceptions, leaving the plaintiff's recovery intact. *158 Mass. at 196-97, 33 N.E. at 495.*

Silence not ordinarily acceptance (continued)

The precise significance of *Hobbs* is evidentiary: those circumstances permitted the jury to infer assent. The decision does not establish that delivery of any unrequested goods automatically produces a contract. The defendant's established relationship with Hobbs and its handling of the shipment supplied the additional facts. The opinion's objective approach also explains why a recipient cannot always avoid liability by asserting that it silently meant to refuse. When conduct reasonably indicates assent in the relationship the parties have created, an undisclosed reservation may carry little weight. The opinion is available at *Hobbs*, 158 Mass. 194.

The casebook gives a second illustration involving a seller's response to orders. In *American Bronze Corp. v. Streamway Products*, 8 Ohio App. 3d 223, 456 N.E.2d 1295, 1300 (1982), the parties had used a practice for more than twenty years under which the buyer telephoned orders, followed with written purchase orders, and the seller began production. When the seller refused three orders, the appellate court reversed and remanded after the buyer's claim had been denied. The established method of filling orders supported the buyer's belief that production had begun absent notice of rejection. The court relied on UCC § 2-204(1), which recognizes formation through conduct demonstrating agreement. This account follows the assigned casebook note; it illustrates how prior practice can supply meaning to a seller's silence as well as a buyer's. *Casebook at 167*.

Section 69(2) separately addresses the exercise of ownership over offered property. An offeree who acts inconsistently with the offeror's ownership can become bound on the offered terms unless those terms are manifestly unreasonable. If the act is wrongful against the offeror, it operates as acceptance only if the offeror ratifies it. Using or disposing of offered property may thus carry a contractual consequence, while simple possession requires attention to the circumstances. A court must also consider any statute that changes the common-law result.

For merchandise mailed without the recipient's prior expressed request or consent, federal law provides a specific protection: qualifying unordered merchandise may be retained, used, discarded, or otherwise treated as a gift without an obligation to the sender. That statute prevents a sender from turning an unsolicited mailing into a bill merely because the recipient keeps or uses it. A subscription arrangement the recipient has already accepted presents a different consent question, because a later delivery may occur under that existing agreement. Whether a particular renewal arrangement is lawful also depends on applicable consumer-protection rules. 39 U.S.C. § 3009(a)-(d).

In applying this topic, specify which facts make silence meaningful: knowingly taking paid services, intending to use a permitted silent method of acceptance, an established course of dealings, or exercising ownership over offered goods. Then identify what the recipient could reasonably have understood and whether a governing statute changes the result. That method ties the conclusion to consent and conduct rather than treating silence as having the same meaning in every transaction.

The significance of contract formation for antidiscrimination law

Casebook printed page 156, PDF page 206; 42 U.S.C. § 1981; *Perry v. Command Performance* and *Hampton v. Dillard Department Stores*.

Contract formation can determine the existence and scope of a protected civil right. Section 1981 guarantees equal rights to make and enforce contracts and reaches racial discrimination in private contracting. Its current definition covers formation, performance, modification, termination, and enjoyment of the contractual relationship's benefits, privileges, terms, and conditions. A claimant may therefore challenge interference with an existing contract or discriminatory obstruction of a proposed contract. The analysis must identify the contractual activity or right affected and connect its impairment to intentional racial discrimination. 42 U.S.C. § 1981(a)-(c).

The casebook's example, *Perry v. Command Performance*, 913 F.2d 99 (3d Cir. 1990), arose under an earlier interpretation of § 1981. In *Patterson v. McLean Credit Union*, 491 U.S. 164 (1989), the Supreme Court limited the statute's protection concerning the making of contracts and generally excluded discriminatory conduct occurring afterward during performance. That interpretation made the instant of formation decisive in some service transactions. Congress subsequently expanded the statute through the Civil Rights Act of 1991. The chronological distinction is necessary to understand both the 1990 decision and the rule applicable today.

Edith Perry, a Black woman, had used the Command Performance salon in Pennsylvania's King of Prussia Mall more than five times. On October 12, 1987, her husband telephoned the salon and arranged a noon appointment for her wash and set. The full opinion identifies her husband as the caller, although the casebook compresses that detail. When Perry arrived, Helene Kugler, who had previously styled her hair, explained that she had a bad cold and asked whether another hairdresser could do the work. Perry agreed. According to Perry's complaint and deposition, the substitute, Beth Abbott, loudly refused because Perry was Black and made explicitly racial statements about whom she would serve. Perry became distressed, summoned mall security, and left with her husband. *Perry*, 913 F.2d at 100.

Perry sued the salon under § 1981 and Pennsylvania's law of intentional infliction of emotional distress. The district court granted summary judgment for the salon because it assumed the telephone appointment had already created a contract on racially neutral terms. Under its reading of *Patterson*, the subsequent refusal therefore constituted conduct outside the statute's contract-making protection. Perry appealed. The Third Circuit reviewed summary judgment de novo, meaning that it independently applied the governing legal standard, with the evidence and reasonable inferences viewed favorably to Perry as the nonmoving party. The appellate court vacated the order and remanded for further proceedings; it did not find the salon liable or award damages. 913 F.2d at 100-02.

The first problem was the absence of a sufficient factual basis for treating the telephone appointment as a completed contract. An appointment might reserve an opportunity to negotiate or obtain service, with contractual acceptance occurring when the service begins. Alternatively, the call might exchange present commitments to provide and pay for the service. The record did not establish which meaning applied. The Third Circuit directed further consideration of industry practice and the parties' expectations. It did not announce that every appointment is merely preliminary or that no appointment can create a contract. It held that the district court could not assume formation at the telephone call on this record. 913 F.2d at 101-02.

The significance of contract formation for antidiscrimination law (continued)

The second problem remained even if the appointment formed a contract. The salon might have agreed to serve a Black customer only if a willing hairdresser happened to be available, while undertaking to serve a white customer without that racial condition. If evidence established such unequal terms at formation, the claim could fit § 1981 even under *Patterson*. The court therefore required an opportunity to develop evidence concerning the terms of the supposed agreement. It also left unresolved whether the conduct could be attributed to the salon and whether the required intentional discrimination occurred. A factual dispute over whether Kugler offered to serve Perry after Abbott's outburst likewise remained in the record. 913 F.2d at 102 & n.1.

Congress's 1991 amendment added § 1981(b), expressly extending the statute to performance and the enjoyment of contractual benefits. For a comparable transaction governed by that amended provision, an earlier contract no longer excludes a claim simply because the refusal occurs during performance. Formation continues to matter because the claimant must identify a relevant contractual relationship or attempted transaction and the particular right impaired. The amendment changes the consequences of the timing analysis without eliminating the need to examine the transaction. The full *Perry* opinion is available at 913 F.2d 99.

The casebook also cites *Hampton v. Dillard Department Stores, Inc.*, 247 F.3d 1091 (10th Cir. 2001), which illustrates the importance of identifying the contract and its benefits after the amendment. Paula Hampton bought children's clothing at Dillard's. The sales clerk gave Hampton and her niece, Demetria Cooper, coupons for fragrance samples. As they attempted to redeem the coupons, a security officer interrupted them and examined Hampton's shopping bag on suspicion of shoplifting; the goods matched her receipt. Their litigation included § 1981 claims concerning discriminatory interference with obtaining the samples. The contractual question was whether receipt of a sample formed part of the purchase's benefits, even though no separate price was charged for it. 247 F.3d at 1099-1105.

Hampton's sample claim proceeded to a jury, which found that the sample was a benefit of her purchase and that the store intentionally interfered with her ability to obtain it on racial grounds. The Tenth Circuit upheld her judgment. Cooper's claim had a different result because she had neither made nor attempted a purchase and lacked an enforceable third-party-beneficiary interest under the court's analysis. Receiving a coupon and accompanying a purchaser did not, on that record, establish her own protected contractual interest. The contrast turns on the legal relationship each plaintiff established. The court's disposition concerning the two plaintiffs shows why identifying the contracting party and the promised benefit remains consequential. 247 F.3d at 1101-05, 1117-19.

For present-day use, the older opinions also require a causation qualification. *Comcast Corp. v. National Ass'n of African American-Owned Media*, 589 U.S. 327 (2020), holds that a § 1981 plaintiff must plead and prove that race was a but-for cause of the injury. That requires a showing that the relevant injury would not have occurred in the absence of the racial discrimination; it does not require race to be the only cause. The earlier *Hampton* opinion's discussion of a motivating-factor instruction should therefore not be copied as the current general causation standard. The current qualification is supplemental to the assigned formation topic. *Comcast*, 589 U.S. at 341.

The contracts-class inquiry begins with what the parties proposed and promised, what conduct expressed assent, when any agreement formed, and which benefits followed from that agreement. The civil-rights inquiry then asks whether intentional racial discrimination impaired a protected contractual activity under the statute applicable to the conduct. A refusal can prevent formation and still support a statutory claim concerning the right to contract. Conversely, a completed sale may retain unperformed benefits whose discriminatory denial remains actionable. *Hampton*, 247 F.3d 1091; 42 U.S.C. § 1981.

Termination of the power of acceptance

Restatement (Second) of Contracts §§ 25, 36-48, 59, 61, 87; UCC § 2-205; casebook printed pages 167-185, PDF pages 217-235.

The power of acceptance is the offeree's ability to complete the proposed bargain by accepting. That power lasts only while the offer remains legally available. Under Restatement § 36, rejection or counteroffer, lapse of time, revocation, and death or incapacity can terminate it. Failure of a condition governing acceptance can also end the power. An effective acceptance must therefore occur before a terminating event, unless a rule protecting an option or another irrevocable offer changes the result. The analysis requires a chronological account of communications and conduct, together with the rule that determines when each event becomes legally effective.

An offer lapses at its stated expiration time. If it gives no time, it remains open for a reasonable period determined by its terms and surrounding circumstances. Relevant considerations include the subject matter, price fluctuations, the communication method, the parties' prior dealings, and the apparent urgency of the transaction. An offer made during a face-to-face conversation ordinarily expires when the conversation ends unless the circumstances indicate continuing availability. In the casebook's example, *Akers v. J.B. Sedberry, Inc.*, 286 S.W.2d 617 (Tenn. Ct. App. 1955), an employer could not wait several days and then accept an employee's oral resignation offer made during a concluded meeting. *Restatement § 41; casebook at 168.*

Reasonable duration also depends on the offer's purpose. In *Loring v. City of Boston*, 48 Mass. (7 Met.) 409 (1844), the casebook describes a reward advertised in response to a period of arson. A claimant sought the reward for apprehending an offender three years and eight months later. The court concluded that the offer had lapsed because the original emergency and public notice did not reasonably support continuing availability that long. Other reward offers may contemplate future events over a longer period. The lesson is to explain why the particular offer's context supports a particular duration. *Casebook at 169, 174-75.*

Lapse occurs through expiration without requiring a new communication from the offeror. A response after lapse ordinarily cannot accept the expired offer, but it may itself operate as a new offer if it sufficiently proposes a bargain. The original offeror can then accept that new proposal. Whether a delayed communication creates a contract thus may depend on subsequent conduct and on whether the parties renewed the offer, rather than on a power to erase the expiration retrospectively. A stated deadline also must be read with the applicable rule concerning dispatch or receipt of acceptance. *Restatement §§ 35, 41; casebook at 169-70, 187-88.*

Revocation occurs when the offeror withdraws an offer before effective acceptance. For a direct revocation under § 42, the offeree must receive a communication indicating that the offeror no longer intends to enter the proposed bargain. Dispatch alone ordinarily does not terminate the power. An uncommunicated change of mind likewise leaves the outward offer in place. The offeror need not use a technical word if the communication reasonably conveys withdrawal. Once acceptance has already formed a contract, an attempted withdrawal raises questions about the existing contractual duties rather than the availability of an outstanding offer.

An ordinary common-law promise to keep an offer open until a particular date may remain revocable before that date if no consideration or other rule makes the promise enforceable. A stated acceptance deadline establishes the latest time for acceptance; a binding commitment to maintain availability additionally restricts revocation. In *Dickinson v. Dodds*, 2 Ch. D. 463 (C.A. 1876), the seller's promise to leave an offer open did not create a binding option, and the buyer learned before his attempted acceptance that the seller had disposed of the property to another person. The casebook uses the decision to connect revocability with indirect communication. *Casebook at 171-75.*

Termination of the power of acceptance (continued)

Section 43 recognizes indirect revocation when the offeror takes definite action inconsistent with an intention to enter the proposed contract and the offeree acquires reliable information of that action. A reliable report of a completed sale to another buyer can satisfy that rule for an offer to sell a particular parcel. Rumor, an ambiguous statement that the seller is considering other buyers, or information that the offeree never receives presents different facts. The required analysis includes both the inconsistent action and the offeree's reliable information about it. A secret sale alone does not automatically establish the offeree's knowledge.

A public offer can require a different method of withdrawal because the offeror may be unable to identify everyone who learned of it. Under § 46, an offer made by general public announcement can be revoked through publicity comparable to the original announcement when no better means is reasonably available. A person who saw the original announcement may therefore lose the power to accept even without seeing the revocation. The adequacy of the withdrawal depends on the original publication, the available alternatives, and the circumstances. This qualification matters when applying advertisement and reward cases such as *Lefkowitz*. *Casebook at 174-75*.

An option contract is an enforceable promise that limits the offeror's power to revoke an offer. A separate bargained-for payment for keeping an offer open is the familiar example. Restatement § 87(1)(a) also recognizes, subject to its conditions and jurisdictional adoption, a signed written offer that recites purported consideration and proposes a fair exchange within a reasonable time. The casebook notes disagreement among courts concerning an unpaid recital of consideration. The existence of an option must therefore be established from the relevant facts and law. If an option exists, it protects the opportunity to accept according to its terms; it does not itself complete the underlying purchase. *Restatement §§ 25, 87; casebook at 176-77*.

For goods, UCC § 2-205 makes certain merchant offers irrevocable without consideration. The offer must be in a signed writing and give assurance that it will be held open. The assurance binds for the stated time or, if no time is stated, a reasonable time, with a maximum of three months of irrevocability under this provision. If the assurance appears on a form supplied by the offeree, the offeror must separately sign that assurance. The three-month limit concerns protection supplied by this rule without consideration; a separately supported option can have a longer duration. Expiration of the protected period may leave an offer revocable but still open if it has not otherwise expired or terminated. *UCC § 2-205*.

The casebook also identifies New York's broader statutory exception. Subject to the UCC's rule for merchant offers involving goods, General Obligations Law § 5-1109 enforces a signed written assurance that an offer is irrevocable for a specified period or until a fixed time despite the absence of consideration for that assurance. If the writing states that the offer is irrevocable without stating a duration, it supplies a reasonable period. A New York services or real-estate transaction may therefore require a different answer from the ordinary common-law rule. *N.Y. Gen. Oblig. Law § 5-1109; casebook at 177*.

Beginning performance and reliance can also affect revocability. Under § 45, when an offer invites acceptance only by performance, beginning or tendering the invited performance creates an option, while the offeror's duty remains conditional on completion or tender according to the offer. Preparations do not automatically constitute that beginning. Section 87(2) separately addresses an offer that the offeror should reasonably expect to induce substantial action or forbearance before acceptance and that does induce it; the offer can bind as an option to the extent necessary to avoid injustice. These doctrines require distinct findings concerning what the offer requested, what the offeree did, and why enforcement is justified.

Termination of the power of acceptance (continued)

The casebook illustrates that distinction through *Ragosta v. Wilder*, 156 Vt. 390, 592 A.2d 367 (1991). The prospective buyers arranged financing in response to a proposed cash purchase of property, but the seller withdrew before the specified exchange at the bank. The Vermont Supreme Court treated financing arrangements as preparation rather than the requested performance and rejected the trial court's contract and equitable-estoppel grounds. It remanded for further consideration involving promissory estoppel. The decision therefore separates formation by performance from possible protection of reliance. In a new problem, a reliance argument requires its own factual and doctrinal support even when acceptance fails. *Casebook at 177-80.*

Under § 48, death or loss of legal capacity of either the offeror or offeree ordinarily terminates the power to accept an ordinary offer, even when the other party has no notice. That rule creates tension with the objective approach to assent because a surviving offeree may reasonably believe the offer remains available. The Restatement and casebook nevertheless identify it as the ordinary rule. Under § 37, the offeror's death or incapacity does not ordinarily terminate the power under an option contract. Death after a completed contract raises separate questions about surviving duties, the estate, and whether personal performance was essential. *Casebook at 180-81.*

Rejection is the offeree's manifestation of an intention to decline the offer. It ordinarily terminates the power when received, without requiring proof that the offeror relied on it. A counteroffer proposes a substituted bargain concerning the same subject and ordinarily has the same terminating effect, unless the parties indicate otherwise. Under the common-law mirror-image principle, a purported acceptance that makes agreement conditional on changed terms is a counteroffer. A definite acceptance accompanied by a request for a change may still accept if the requested change is not a condition of assent. That distinction, reflected in §§ 59 and 61, prevents the mere presence of a question from deciding the case. *Restatement §§ 38-40, 59, 61; casebook at 182-84.*

Under § 37, rejection, counteroffer, revocation, or the offeror's death or incapacity ordinarily does not end an option holder's power of acceptance, subject to rules governing discharge of the contractual duty. The holder has an existing contractual right to the protected opportunity, and an ineffective attempt to exercise it may leave that right available for timely, conforming exercise. Reliance, release, or other grounds of discharge may still matter. The casebook cautions that an option supported by consideration and a statutory merchant firm offer may require separate analysis when an offeree first rejects and then changes course. The terms and legal basis of irrevocability should be identified before applying an exception. *Casebook at 184-85.*

For any termination problem, determine whether an offer existed, identify the invited form of acceptance, establish any protection against revocation, and put the relevant events in order. Then apply the effective-time rule to each event. A posted revocation, a received revocation, a mailed acceptance, a rejection, and expiration of an option can have different legal dates. The mailbox rule supplies several of the timing rules needed to finish that analysis.

The mailbox rule

Restatement (Second) of Contracts §§ 40, 63-68; casebook printed pages 185-188, PDF pages 235-238.

The mailbox rule ordinarily makes an acceptance effective when it is properly dispatched through a manner and medium invited by the offer. Under Restatement § 63(a), the acceptance can complete mutual assent when it leaves the offeree's possession, even if the offeror has not yet learned of it and even if it is later lost. The rule is a default: the offer can specify another condition, such as actual receipt by a deadline. It also has exceptions for option contracts and for communications that do not satisfy the dispatch requirements. The essential question is when the relevant communication acquires legal effect. *Restatement* §§ 63, 66.

The rule gives an offeree a dependable point at which to commit. Once the offeree properly sends an acceptance of an ordinary offer, a subsequently received revocation ordinarily comes too late. The offeror bears the transmission risk associated with that invited method, subject to the offer's wording and the rule's qualifications. The casebook traces the doctrine to *Adams v. Lindsell*, 1 B. & Ald. 681, 106 Eng. Rep. 250 (K.B. 1818), involving a mailed offer for wool and a posted acceptance. It also explains that treating the postal service as the offeror's agent is an imperfect rationale; the more useful explanation concerns the offeree's ability to act on a reliable legal commitment. *Casebook* at 185-87.

The effective-time rules are asymmetric. An offer must ordinarily reach the offeree before it creates a power of acceptance. Revocation ordinarily takes effect upon receipt by the offeree. Rejection and counteroffer sent from a distance ordinarily terminate the power when received by the offeror, subject to § 40's rule for a later acceptance. A qualifying acceptance alone ordinarily receives the benefit of effectiveness on dispatch. The fact that every communication travels by mail does not make their legal timing identical. *Restatement* §§ 40, 42, 63.

Suppose a seller mails a revocation on Monday. The buyer has not received it when the buyer properly mails an invited acceptance on Tuesday, and the revocation arrives Wednesday. Under the ordinary mailbox rule, the contract forms Tuesday. The seller's Monday dispatch does not establish an effective revocation before acceptance. If the buyer receives the revocation on Monday and then mails an acceptance on Tuesday, the ordinary offer has already terminated. The sequence that matters compares legally effective events, which can differ from the chronological order in which the parties wrote or mailed their messages.

Proper dispatch requires an appropriate destination and the ordinary precautions for safe transmission, including correct addressing and sufficient postage when applicable. The manner and medium must also be invited by the offer, expressly or reasonably in context. An offer inviting an urgent response may not permit a slower method that defeats its purpose. Section 67 supplies a qualification for a seasonably but improperly dispatched acceptance: it is treated as operative on dispatch if it actually arrives within the time in which a properly dispatched acceptance normally would have arrived. An improperly sent message cannot receive the ordinary dispatch protection merely because the offeree intended to accept. *Restatement* §§ 63(a), 65-67.

The mailbox rule (continued)

The offeror can make receipt controlling by requiring that acceptance arrive by a specified time. If an offer requires a signed acceptance in the offeror's hands by 5 p.m. Friday, posting it Friday afternoon ordinarily does not satisfy that requirement. By contrast, a deadline stated without specifying receipt must be interpreted with the offer's other language, the authorized medium, and the default timing rules. A clear receipt clause shifts the risk of delay to the accepting party and gives both parties an observable deadline. The offeree must satisfy that condition while the offer remains available. *Restatement* §§ 60, 63.

Acceptance under an option contract is effective upon receipt by the offeror under § 63(b), unless the offer provides otherwise. The holder already has a protected period to decide and does not need the ordinary mailbox rule's protection against intervening revocation. An option expiring Friday therefore ordinarily requires receipt of the exercise by Friday, even if a letter was properly mailed earlier. The option's terms may alter that default. The casebook's example, *Pennsylvania Academy of the Fine Arts v. Grant*, 590 A.2d 9 (Pa. Super. Ct. 1991), enforced an exercise mailed within the required period under a lease provision authorizing notices by delivery or specified forms of mail. That example makes the drafting relevant; it should not erase the Restatement's receipt default for options. *Casebook* at 187.

If the offeree dispatches an effective acceptance first and later sends a rejection, the contract ordinarily already exists. A faster rejection that arrives before the acceptance generally cannot unilaterally undo the contract. The offeror may choose to release the offeree or agree to rescission, but that requires a further basis. There is also a reliance qualification: if the offeror receives the overtaking rejection, reasonably relies on it, and materially changes position before learning of the earlier acceptance, the offeree may be estopped from enforcing the contract. Estoppel in this setting prevents the offeree from using the earlier acceptance to defeat reasonable reliance on the offeree's later misleading communication. *Restatement* § 63 cmt. c; *casebook* at 186.

If the offeree sends a rejection or counteroffer first and then sends an acceptance, § 40 changes the treatment of the later message. The later acceptance is effective only if it reaches the offeror before the earlier rejection or counteroffer. If the rejection arrives first, the later message can operate only as a counteroffer requiring the original offeror's assent. For example, a buyer who mails a rejection Monday and an acceptance Tuesday does not obtain the ordinary dispatch rule for Tuesday's acceptance. The order of receipt controls under this special rule. This is why the two sequences, acceptance followed by rejection and rejection followed by acceptance, must be analyzed separately.

The mailbox rule (continued)

For receipt, § 68 looks to possession or authorized delivery rather than requiring proof that the recipient actually read the message. A written communication is received when it comes into the possession of the addressee, someone authorized to receive it, or an authorized place for such communications. The same principle explains why ignoring a properly delivered revocation cannot preserve an ordinary offer indefinitely. The meaning of authorized delivery depends on the setting, including the recipient's arrangements for receiving business communications. *Restatement § 68.*

The rule concerns formation and does not generally turn mailing into timely performance of an existing obligation. If an established contract requires payment by a specified date, whether mailing a check by that date constitutes payment depends on the contract and applicable payment rules. The mailbox rule for accepting offers does not answer that question by itself. The casebook uses a tailor's unpaid bill to expose the error of extending the dispatch rule to every communication or payment sent through the post. *Casebook at 187.*

Near-instantaneous communications require care. Section 64 treats acceptance by telephone or another medium of substantially instantaneous two-way communication under principles applicable to parties communicating in each other's presence. Email is not governed by a universal rule that every click on send creates a contract; its treatment depends on applicable law, the offer's terms, and the communication's characteristics. An email requiring a signed document to be received by a stated hour can make actual receipt decisive even when ordinary mailed acceptance would receive dispatch protection. The assigned materials raise electronic communication as a question about the continued scope of the postal rule. *Restatement § 64; casebook at 185, 187-88.*

The casebook also contrasts the United Nations Convention on Contracts for the International Sale of Goods. Under CISG Articles 18(2) and 23, acceptance ordinarily forms the contract when the indication of assent reaches the offeror. Article 16(1), however, ordinarily requires a revocation to reach the offeree before the offeree dispatches acceptance. This combination can protect an acceptance in transit against revocation even though formation awaits receipt. It demonstrates that the rules governing formation and the ability to revoke can be separated. Application of the CISG depends on the transaction and the parties' choice of governing rules; the ordinary domestic mailbox rule should not simply be assumed to control an international sale. *Casebook at 187.*

A complete answer identifies the communication, the authorized method, whether the offer requires receipt, whether an option exists, whether dispatch was proper, and the order of legally effective events. The connection to *White* is direct: *White*'s example of a posted acceptance shows that an outward manifestation can become binding before actual knowledge. The connection to *International Filter* is the parties' ability to specify the act that completes acceptance. The Restatement's quoted acceptance and dispatch provisions are reproduced in *Contracts Doctrine, Theory and Practice, Acceptance.*